



STANDARD SERVICES AGREEMENT

(As of June 20, 2023)

THIS STANDARD SERVICES AGREEMENT (this "**Agreement**") is made and electronically signed on the Effective Date, by and between:

XENDIT PHILIPPINES INC., a corporation duly organized and existing in accordance with the laws of the Republic of the Philippines, with principal place of business at North Unit 22F, Marajo Tower, 312 26th St. cor. 4th Ave., Brgy. Fort Bonifacio, Taguig City 1634, Philippines, represented herein by its President and Managing Director, Yang Yang Zhang, hereinafter referred to as (the "**First Party**");

and

The **Second Party**, an individual/partnership/corporation/cooperative/legally-organized business organization organized and existing under the laws of the Republic of the Philippines, and whose details are set out in the Audit Trail in the Acceptance of Use of the Services ("**Acceptance**").

The First Party and Second Party are collectively referred to as the "**Parties**", and individually as a "**Party**".

WHEREAS:

- (A) The First Party is an Operator of Payment System registered with the Bangko Sentral ng Pilipinas, which supports the provision of, *inter alia*, disbursement and batch disbursement payment services, invoicing services, debit and credit card processing services, payment collection services and direct debit services and other payment-related services; and
- (B) The Second Party, his/her/its business being specified in the Account Activation Form, intends to engage the Services of the First Party, subject to the clauses of this Agreement.

NOW IT IS HEREBY AGREED as follows:

1. INTERPRETATION

- 1. Definitions: For the purposes of this Agreement and the Schedules attached hereto, and except where the context requires otherwise:
 - a. "Account" means a top-level gateway identifier that is issued by the First Party to the Second Party to enable the Second Party's use of the Services.
 - b. "Affiliate", in relation to a Party, means: (a) any other person that directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Party; (b) any company which the Party (directly or indirectly) controls; and/or (c) such other entity, arrangement or person that the Parties may agree in writing and in good faith to be an Affiliate. For such purposes, the term "control" (including the terms "controlling", "controlled by" and "under common



control with") shall mean possession, direct or indirect, of the power to direct or cause the direction of the management and policies of a person, whether through the ownership of voting securities, by contract or otherwise.

- c. "Account Activation Form" means the online form the Second Party or his/her/its authorized representative accomplishes at the First Party's account dashboard for the purpose of acquiring the Services hereunder and prior to the execution of the Acceptance of the Use of the Services ("**Acceptance**") for the purpose of acquiring the Services hereunder. The Activation Form accomplished by the Second Party forms part of this Agreement.
- d. "Audit Trail" means the system-generated summary of the information relating to and establishing the fact of the execution of the Acceptance via electronic signature, and includes, among others, the name of the person signing the Acceptance, the email address and the IP address used in signing the Acceptance, the date and time of the signing of the Acceptance. The Audit Trail is included in the copy of the Agreement sent to the Second Party following his/her/its electronic execution.
- e. "Banks" shall mean the banks with whom the First Party has entered into agreements in respect of the provision of account and payment authorization services and such other banks which may enter into such agreements with First Party from time to time, and their transferees.
- f. "Conditions" shall mean the terms and conditions that apply to the Second Party's use of the Services, as set out in the First Party's Terms and Conditions webpage (<https://www.xendit.co/ph/terms-and-conditions/>) (the "Terms and Conditions"), and any reference to a particularly numbered Condition shall be construed accordingly.
- g. "Dashboard" means a web-based platform provided and maintained by the First Party to the relevant Platform Account holder and PartnerAccount holders, as applicable, through which the Second Party or the Partner Account holder manage their use of the Services .
- h. "Documentation" means detailed online information regarding each collection and disbursement services offered by First Party that can be accessed on the First Party webpage (<https://docs.xendit.co/index.html>).
- i. "End User" means any person or entity that uses the services or products of the Second Party and Second Party Merchants.
- j. "Intellectual Property" means all (i) copyrights (including, without limitation, the right to reproduce, distribute copies of, display and perform the copyrighted work and to prepare derivative works), copyright registrations and applications, trademark rights (including, without limitation, registrations and applications), patent rights, trade names, mask-work rights, trade secrets, moral rights, author's rights, privacy rights, publicity rights, algorithms, rights in packaging, goodwill and other proprietary rights, and all renewals and extensions thereof, regardless of whether any of such rights arise under the laws of any state, country or jurisdiction; (ii) intangible legal rights or interests evidenced by or embodied in any idea, design, concept, technique, invention, discovery, enhancement or improvement, regardless of patentability, but including patents, patent applications, trade secrets, and know-how; and (iii) all derivatives of any of the foregoing.



- k. "Effective Date" means the date when the Second Party receives an electronic mail (e-mail) confirming the Second Party's online registration application to use the Services and the electronic execution of the Acceptance.
 - l. "Instant Messaging Service" means the instant messaging service application like WhatsApp and Viber, or such other instant messaging service through which the either Party may send such notifications specified in this Agreement. The term includes short-messaging service but only insofar as notifications are sent to the End-Users.
 - m. "Losses" shall mean any losses, damages, liability, costs and expenses (including reasonable fees and expenses of legal and other advisers, court costs and other dispute resolution costs) suffered or incurred by a party.
 - n. "Payment Gateway Services" shall mean the disbursement and batch disbursement payment services, invoicing services, debit and credit card processing services, Subscription services, payment collection services and direct debit services, as explained in further details in the Documentation, or otherwise in this Agreement and the Conditions.
 - o. "Partner Account" means an Account created by the First Party at the request of the Second Party for the Second Party Merchants that are connected to the Platform Account, which may be accessed, controlled and monitored by the Second Party and may have limited features in comparison to the Platform Account.
 - p. "Platform Account" means an Account issued by the First Party to the Second Party to enable the Second Party's use of the Services hereunder.
 - q. "Restricted Business" means a list of business activities that are restricted based on applicable Philippine laws and regulations and/or as required by the First Party's payment channel partners, and for which transactions cannot be processed or accommodated by the First Party.
 - r. "Second Party Merchant" means any other third party offering goods and/or services whom the Second Party rightfully allows to use the Services by way of granting a Partner Account.
 - s. "Schedules" shall mean the annexures to this Agreement the Parties shall execute following the electronic execution of the Acceptance, and specify, among others, terms of the use of the Services not otherwise stipulated in the Acceptance, Agreement and the Conditions.
 - t. "Services" shall mean the Payment Gateway Services and, if enabled, the xenPlatform Feature.
 - u. "xenPlatform Feature" means a software service provided by the First Party, the availability of which and use by the Second Party, is always subject to the absolute discretion of the First Party, and which allows the Second Party to utilize the Platform Account and create/manage Partner Account and as explained in further details in the Documentation.
2. Interpretation: References to Clauses and Schedules are to be construed as references to the Clauses of, and Schedules to this Agreement, unless otherwise indicated, and terms such as "hereof," "herein," "hereunder" and other similar compounds of the word "here" shall mean and refer to this entire Agreement rather than any particular part of the same. Certain capitalized terms used but not otherwise defined herein shall have the respective meanings ascribed to them.



2. SERVICES

1. The First Party shall provide to the Second Party the Payment Gateway Services for such fees set forth in the pricing schedule posted at Xendit's website. It is understood that each of the Payment Gateway Services shall be made available to the Second Party only upon approval by the First Party and/or the relevant bank and payment channel partners. Further, it is understood that the Second Party shall be liable to pay the fees only for the Payment Gateway Services the First Party has approved the Second Party to use, and are actually used by the Second Party.
2. Should the Second Party enable the xenPlatform Feature on its Dashboard:
 - (i) The xenPlatform Feature rates set forth in the pricing page at the website become applicable to the Second Party;
 - (ii) The Second Party undertakes to perform the required Know-Your-Customer (KYC) and Customer Due Diligence (CDD) measures on every prospective Second Party Merchant. To this end, the Second Party commits to implement acceptable KYC and CDD processes conforming to applicable regulatory requirements and industry standards, or as deemed fit by the First Party.
 - (iii) The Second Party undertakes to and commits that it shall have an appropriate agreement with each of the Second Party Merchant(s) for the availment of the Services, to ensure that every Second Party Merchant complies with the provisions of the Conditions. The said agreement shall have clauses and provisions aligned with this Agreement, as deemed fit by the First Party, and shall only be effective for as long as this Agreement remains valid. In addition, the Second Party shall ensure that copies of its agreements with the Second Party Merchant(s) shall be available for inspection upon request of the First Party.
 - (iv) The Second Party shall be responsible for ensuring that every Second Party Merchant: (a) acknowledges and complies with the provisions of this Agreement and the Conditions, (b) acknowledges and consents that certain Confidential Information may be transmitted to the First Party and its Affiliates for the availment of the Service and (c) is well informed on limitation of the Partner Account features (in the event the Second Party Merchant is a Partner Account holder).
 - (v) The Second Party shall be ultimately responsible for the management and use of the Dashboards of the Partner Account holders, including the usage of the features as well as any and all costs, charges, expenses, reimbursements that arise out of the use of the features and the Services, including the Dashboard balance management provided to the Platform Account holder from time to time.
 - (vi) All provisions regarding Partner Account in this Agreement including Clause 10.2 become applicable to the Second Party. For the avoidance of doubt, all other provisions not stated in this clause, shall remain in force for, and applicable to, the Second Party at all times.
 - (vii) The First Party shall support the Second Party by providing the following:
 - a. Technical guidance and knowhow on the integration with the First Party systems for the availment of the Services;



- b. Template Conditions, which the Second Party may modify, as applicable, for the purpose of using the xenPlatform feature, and making available the Payment Gateway Services to the Second Party Merchants;
 - c. Template Services Agreement, which the Second Party may modify, as applicable, for the purposes of using the xenPlatform feature, and making available the Payment Gateway Services to the Second Party Merchants;
 - d. Template Variation Agreement or Addendum, which the Second Party may modify, as applicable, for the purposes of using the xenPlatform feature, and making available the Payment Gateway Services to the Second Party Merchants ;
 - e. Know Your Customer ("KYC") Guidelines, set out in Schedule 1 below, which shall be followed and complied with by the Second Party before allowing the provision of Services to the Second Party Merchants;
 - f. Training and guidelines in giving customer support, to allow the Second Party to provide solutions and manage complaints or support requests from Second Party Merchants during the course of the Agreement.
3. Unless the Parties agree otherwise in writing, the Second Party may use other Services and/or Payment Channels ("**Additional Services**"), subject to the First Party's pricing published at the First Party's website, or that agreed upon by the Parties. To be able to use Additional Services and/or Payment Channels provided or supported by the First Party, the Second Party shall notify the First Party, at the minimum by e-mail notification, of its desire to avail of the same. The First Party shall activate the Additional Services desired to be availed of by the Second Party upon finding that the Second Party is eligible for the Additional Services so requested. The First Party shall notify the Second Party of such activation, and the terms of such activation, including the pricing therefore as appropriate. The First Party shall charge the relevant service fees upon such activation.
4. If the Second Party wishes to terminate any of the Services and/or Payment Channels it has availed of from the First Party, the Second Party shall serve a written notification thereof to the First Party by e-mail. Within seven (7) business days from receipt of such notification, the First Party shall deactivate such services and stop charging the Second Party of the relevant fees for the terminated Service and/or Channel. For the avoidance of doubt, the termination of a Service or Payment Channel does not extinguish any of rights of a Party that may have accrued prior to the termination, as well as such rights under this Agreement and the Conditions which, by their nature, shall survive the termination of the Service or Payment Channel, or the Agreement.
5. The Second Party commits that it will allow, cause or otherwise direct, any of the Second Party Merchants to execute a separate services agreement, or any legal document, with the First Party when the execution of said separate services agreement or legal document is required for the First Party to deliver any of the Services subject of this Agreement.
6. From time to time, the Parties agree to review the Agreement, implementation of the Second Party's technical integration, onboarding process, customer support including allowed under this Agreement. For the avoidance of doubt, the first review shall be twelve (12) months after the Effective Date.
7. Should the Second Party avail of Gcash services for disbursements, the Second Party agrees to be onboarded with G-Xchange Inc. d/b/a Gcash and agrees, acknowledges, and confirms that: (i) GCash is a partner of the First Party, and that the First Party has performed all required Know-Your-Customer ("KYC") and customer due diligence processes on the Second Party; and 2)



the First Party shall complete and sign the GCash FDS forms on behalf of the Second Party which shall contain all true and correct information of the Second Party to be relayed by the Second Party to the First Party.

3. FEES AND OTHER PAYMENTS

1. In consideration of the First Party providing the Services, the Second Party agrees to pay to the First Party such fees and charges specified for each Service and published at First Party's website.
2. The fees are exclusive of any Value Added Tax (**VAT**). The Parties further agree that each of them is responsible for taxes arising from this Agreement. Accordingly, the fees paid under this Agreement shall be made in full, free and clear of any deductions and set-offs in respect of any such present or future value-added or goods or services taxes now or hereafter assessed by any governmental authority. When applicable and depending on the agreed payment method, if any taxes are required to be withheld from any fees payable to the First Party, the Second Party acknowledges agrees and covenants that it shall pay such taxes to the taxing authority and deliver to the First Party an official receipt or proof of withholding or payment for any such taxes. Any penalty or interest arising out of the Second Party's failure to withhold the taxes specified therein shall be borne by the Second Party.
3. The Second Party shall pay the First Party fees through any one of the following payment methods to be designated by the First Party:
 - a. Direct Deduction, where the fees shall be automatically deducted from the balance of the Second Party by the First Party upon each executed Collection or Disbursement, as these terms are defined in the Conditions;
 - b. Monthly Billing, where at the beginning of each month, the First Party shall deliver in writing an invoice setting forth the total service fees due and payable by the Second Party to the First Party for the preceding month. Save for any manifest errors or mistakes, such invoice shall be deemed final and conclusive. The Second Party shall make full settlement of such invoice within thirty (30) calendar days of the date of such invoice; or
 - c. Monthly Direct Deduction, where at the beginning of each month, the First Party shall automatically deduct the total service fees due and payable by the Second Party for the Services provided by the First Party for the preceding month from the balance of the Second Party.

The payment of fees by direct deduction under Item (a) above is the default payment method. The Parties, however, may agree in writing the election of another payment method.

4. All payments collected, and the funds aggregated and held, by the First Party under this Agreement shall be settled to the Second Party's nominated bank account listed in the Account Activation Form. In case the Second Party is allowed to avail of cross-border settlement or withdrawal, i.e. the funds aggregated are settled to accounts maintained in banks outside of the Philippines, such settlement will be subject to the terms and condition set out in Schedule 2. The availability of funds for settlement and the periods when the settlements can be implemented are specified in the Condition.

4. TERM, SUSPENSION AND TERMINATION



1. This Agreement shall commence on the Effective Date for the initial term of three (3) years (the **"Initial Term"**).
2. This Agreement may renew upon the expiry of the Initial Term for additional terms of one (1) year each (each a **"Renewal Term"**). Within sixty (60) calendar days prior to the expiry of the Initial Term or Renewal Term, the Parties may discuss, confer and negotiate on the service fees of the Agreement, and such other terms of the Agreement the Parties may want to modify in the Agreement. During the same period, either Party may serve upon the other Party its intention not to renew the Agreement.
3. In the event that the First Party has reasonable suspicion that the Second Party or any of the Second Party Merchants is:
 - (i) in violation of this Agreement or the Conditions, as applicable, or
 - (ii) engaged in a conduct or activity which, poses an actual or potential threat to the First Party's systems, equipment, processes (including, without limitation, transmitting inaccurate and/or incomplete data to the First Party), or
 - (iii) offering products or services whose offering violates applicable laws, or is otherwise prohibited by any governmental authority, or upon the sole determination of the First Party negatively affects the public; or
 - (iv) upon the sole determination by the First Party, is violating any of its policies on money laundering and terrorist financing prevention, consumer protection and data protection;
 - (v) facilitating transactions appearing to be irregular or having been flagged as having such appearances by the First Party or any of the relevant Payment Channel Partner

(each, the **"Threatening Condition"**), the First Party shall have the right to suspend the provision of the Services (including, but not limited to, the immediate deactivation of the relevant Account, service, payment channel, and/or feature including withdrawal) at any time upon written notice to the Second Party containing details of the applicable Threatening Condition and timeline for the Second Party to rectify or remedy the Threatening Condition.

The foregoing notwithstanding, the First Party may impose suspension allowed under this clause upon the directive or instruction of the relevant payment channel(s), or the court.

For the avoidance of doubt, it is understood that the suspension of the Platform Account shall likewise result in the suspension of the Partner Accounts. Conversely, the suspension of a Partner Account does not necessarily result in the suspension of the Platform Account.
4. Upon the suspension of the Services in accordance with Clause 4.3 above, the Second Party shall be entitled to address the Threatening Condition and provide supporting evidence(s) on measures it has taken to rectify or remedy the Threatening Condition as basis for the First Party to consider lifting the suspension and resume the provision of Services. It is understood that any recourse or remedy which the Second Party Merchant may have relative to the suspension or termination of its Partner Account directed by the First Party under this Agreement shall be enforced against, and



pursuant to the Second Party Merchant's agreement with, the Second Party. For the avoidance of doubt, the First Party shall not be liable for any Losses incurred (whether directly or indirectly, materially and non-immaterially) by the Second Party or any Second Party Merchant following the suspension of its Services to the Second Party pursuant to Clause 4.3.

5. Where the Services are not resumed after a period of seven (7) calendar days following such suspension, and the Threatening Condition has not been rectified or remedied to the reasonable satisfaction of the First Party, the First Party shall be entitled to terminate this Agreement, or deactivate the relevant Partner Account immediately upon written notice to the Second Party. For avoidance of doubt, the Second Party shall remain liable for all sums due and unpaid to the First Party before the termination of this Agreement. Conversely, the First Party shall be entitled with full authorization, to receive payment thereof and to set-off any outstanding payments owed to it including third party, with the Second Party's account balance (if applicable).
6. In addition to the provisions stated in this Agreement, from time to time, the First Party is entitled to terminate this Agreement effective immediately by way of delivery of a written notice to the Second Party, if (i) the First Party determines in its sole discretion that the Second Party or any of the Second Party Merchants is no longer eligible for the Service upon reasonable suspicion of fraud or significant fraud or credit risk, or any other risks associated with the relevant Account; (ii) the Second Party or the Second Party Merchant uses the Services in a prohibited manner or otherwise does not comply with any of the provisions of this Agreement or the Conditions; (iii) any law, rule, regulation, order of competent authority, or when the relevant payment channel partner or financial services provider, requires the First Party to do so; or (iv) if it is reasonably suspected that the Second Party, or any of the Second Party Merchants, is in breach of Conditions 9.2(e), (f), and/or (g). This Clause 4.6 shall also apply to Merchant(s) that is created a Partner account by the Second Party or the First Party.
7. This Agreement may be terminated by either Party effective immediately with written notice in the event that (i) the other Party files a petition, in bankruptcy, seeking any reorganization, arrangement, composition, or similar relief under any law regarding insolvency or relief for debtors, or makes an assignment for the benefit of creditors; (ii) a receiver, trustee, or similar officer is appointed for the business or property of such party; (iii) any involuntary petition or proceeding, under bankruptcy or insolvency laws, is instituted against such Party and not stayed, enjoined, or discharged within sixty (60) calendar days; or (iv) the other party adopts a resolution for discontinuance of his/her/its business or for dissolution.
8. This Agreement may be terminated by the Second Party at any time in the event of a substantial and/or material breach by the First Party of any of the Conditions or the terms of this Agreement (including, but not limited to, any breach of the representations and warranties by the Second Party in the Conditions) that remains uncured after seven (7) calendar days' written notice thereof.
9. Notwithstanding any provision in this Agreement to the contrary, either Party may terminate this Agreement, without cause, with at least thirty (30) calendar days' prior written notice.
10. No termination shall, in any event, affect any rights or obligations accrued or incurred as at the effective date of termination or which accrue thereafter in relation to any act or omission which occurred prior to such termination. Without prejudice to the generality of the foregoing, the Second Party will, notwithstanding termination of this Agreement for any reason, remain responsible for the expenses to be paid or reimbursed by it pursuant to Clause 3 and the Conditions and all obligations



of the Second Party under the applicable Conditions on License and Intellectual Property and Indemnification and Liability shall remain in effect.

11. The Second Party must provide written notification to the First Party if the Second Party changes the type of business and / or type of goods or services offered by the Second Party no later than five (5) working days after the change occurs. In the event that the Second Party does not fulfill its obligations under this Clause 4.11 all consequences arising therefrom shall be the responsibility of the Second Party entirely.

5. **FORCE MAJEURE**

1. Each Party shall not be in breach of this Agreement if there is any total or partial failure of performance by it of his/her/its duties and obligations under this Agreement occasioned by any existing or future act of God, fire, act of government or state, war, civil commotion, pandemics and epidemics, insurrection, embargo, labor disputes of whatever nature, act of terrorism, strike, lockout, other industrial action, general failure of electricity or other supply, aircraft collision, technical failure, accidental or mechanical or electrical breakdown, computer failure, failure of any money transmission system, the occurrence of the events stated in the Conditions or any other reason which is beyond the control of such Party (each circumstance, a **"Force Majeure Event"**).
2. If either Party is unable to perform his/her/its duties and obligations under this Agreement as a direct result of the effect of one (1) or more Force Majeure Event(s), such Party shall immediately notify the other Party in writing of such inability. The operation of the Agreement shall be suspended during the period (and only during the period) in which the Force Majeure Event(s) continues. If the Force Majeure Event(s) continues for a period of: (a) more than two (2) consecutive months from the date on which the affected Party notifies the other Party of such Force Majeure Event(s); or (b) such other extended period as may be agreed between the Parties in writing, either Party may issue a written notice to the other Party to terminate this Agreement with immediate effect from the date of such termination notice.
3. Each Party shall not be liable for any Losses incurred in relation to any Force Majeure Event by the other Party.

6. **DISPUTE RESOLUTION**

1. This Agreement is governed by and made in accordance with the laws and regulations of the Republic of the Philippines and the Parties hereby declare to be subject to the applicable laws and regulations of the Republic of the Philippines.
2. Any dispute, controversy or difference between the Parties arising out of, or in relation to, this Agreement (including any dispute as to the validity, existence or termination of this Agreement) or for any breach thereof (a **"Dispute"**) shall be settled amicably by the Parties within thirty (30) calendar days following the notification by one Party to the other Party of any such Dispute.
 - (a) However, if such Dispute cannot be settled amicably within such time period, such Dispute shall be exclusively referred to and finally resolved by arbitration in accordance with the rules of Philippine Dispute Resolution Center (PDRCI).



(b) The seat of arbitration shall be in Taguig City, Philippines. The Tribunal shall consist of one (1) arbitrator to be appointed by the First Party. The language of the arbitration shall be English. The award rendered by the arbitrators under this Clause 6.2(b) shall be final and binding on the Parties and shall be enforceable in any court of competent jurisdiction. Each of the Parties hereby renounces any right it may otherwise have to appeal or duly be relieved from the award or any decision of the arbitrators contained therein and agrees that neither Party shall appeal to any court from the award or decision of the arbitrators contained therein.

(c) The Parties agree that none of the Parties will be allowed to commence or maintain any action in any court of law with respect to any Dispute, except for the enforcement of arbitral award granted pursuant to proceedings commenced pursuant to this Clause 6.2.

7. NOTICES

1. Each notice required to be given by a Party to the other Party shall be in writing, signed by or on behalf of the Party giving it, and served through any one or combination of two (2) or more of the following means:

a. via hand delivery, by ordinary mail or courier service:

To the First Party at the business address specified in the Recitals of this Agreement
To the Second Party at the business address specified in the Activation Form

b. via electronic mail

To the First Party, at help@xendit.ph
To the Second Party, at the email address listed in the Activation Form

Any change in any of the listed addresses of a Party shall be binding upon the other Party only if the former has notified the latter of such change in writing.

2. The Parties agree and consent to the sending of the following notice or communication via Instant Messaging Service at such number specified in the Activation Form below:

- (a) Account Activation;
- (b) Change in Account Information;
- (c) Service Advisories; and
- (d) Marketing advertisements.

3. Unless there is evidence that a notice or communication was received earlier, any such notice or communication shall be deemed to have been served:

- (a) if sent by Instant Messaging (including, but not limited to, Whatsapp), at the time of delivery;
- (b) if delivered by hand, at the time of the delivery;
- (c) if posted by ordinary mail, at the expiration of six (6) days after the envelope containing the



same shall have been put into the post;

- (d) if sent by courier, at the expiration of three (3) days after the package containing the same shall have been received by the relevant courier company; or
 - (e) if sent by e-mail transmission, on the day of dispatch, provided that if a notice or communication is received after business hours it shall be deemed to have been received and to have effect on the next business day.
- 4. In providing such service, it shall be sufficient to prove that delivery by hand was made or that the envelope containing such notice or document was properly addressed and posted as a prepaid ordinary mail letter or, as the case may be, the package containing such notice or document was properly addressed and sent to the relevant courier company.
 - 5. The service of each notice or communication shall be irrevocable save in respect of any manifest error.

8. REPRESENTATION AND WARRANTY

- 1. The Second Party warrants and represents that it has the legal capacity, power, authority and right to execute and deliver this Agreement, and to perform his/her/its obligations hereunder, and that the person who accomplished the Account Activation Form and electronically accepted and signed this Agreement and the Acceptance has been duly authorized by the Second Party and, when directed by the First Party, it can present and submit the evidence of the authority of the person accomplishing the mentioned form, and signing the Agreement and the Acceptance. This Agreement has been duly and validly executed and delivered by the Second Party and, assuming due authorization, execution and delivery by the First Party, constitutes a legal, valid and binding obligation of the Second Party, enforceable against it in accordance with its terms.
- 2. The execution, delivery and performance of this Agreement and the consummation of the transaction contemplated hereby will not (i) violate any law, regulation, order, writ, judgment, injunction, award or decree of any court, arbitrator or governmental or regulatory body against, or binding upon, the Second Party or upon any of his/her/its assets, or (ii) require any consent of any third party, in each case which violation or failure to obtain consent would have a material adverse effect on the Second Party ability to consummate the transaction contemplated by this Agreement.
- 3. The Second Party acknowledges that it is and will continue to be in compliance with all relevant laws, regulations, circulars, guidelines, and directives howsoever issued by any court or governmental, regulatory or professional agency, authority, or body, with respect to the provision of the Services.
- 4. The Second Party has received and will continue to receive all requisite consents, approvals, clearances, licenses, exemptions, and authorizations from any applicable governmental, regulatory or professional agency, authority or body, or any authorized person therefrom, necessary for the legal and valid conduct of his/her/its business and operations in the Philippines.
- 5. The Second Party warrants that it owns the settlement account (i.e. the bank account where the payments aggregated by the First Party under this Agreement will be deposited or otherwise



credited) it is registering in the Account Activation Form. Further, the Second Party confirms that the details of and the information on the settlement account it is providing in the Account Activation Form are correct. The Second Party assumes any and all liability that may arise out of, or result from: (a) the Second Party providing a settlement account it does not own; or (b) the Second Party supplying incorrect details of and information on the settlement account.

6. Each Party shall take necessary measures to ensure that Merchant onboards with the Second Party satisfying the KYC requirements as prescribed by the First Party.
7. The Second Party shall ensure that Second Party Merchant(s) that onboards with the Second Party are subject to and bound by the template Conditions and template Services Agreement pursuant to Clause 2.2 (vii) (c) and (d) as provided by the First Party.
8. The Second Party shall implement necessary measures that will allow the Second Party to directly provide customer support services to Merchant(s).
9. For any reason, the Second Party shall not reactivate or recreate any Partner Account of a Second Party Merchant that has been suspended and/or terminated by the First Party with pursuant to Clause 4.3.
10. The Second Party acknowledges that in the event it enables its Second Party Merchants to accept payments from End Users, it has verified the identity of each Second Party Merchant. The Second Party shall be immediately responsible for all Losses directly or indirectly incurred by the First Party in connection with any transaction related to the Second Party Merchants and/or End Users

9. INDEMNIFICATION

1. To the extent permitted under law, the breaching Party agrees to indemnify, defend, and hold harmless the non-breaching Party against, and to reimburse any one or more of the non-breaching Party or its affiliates in respect of all claims, causes of action, costs, expenses, losses, liabilities, damages, and obligations incurred arising from or relating to the breaching Party's obligations pursuant to this Agreement, including without limitation any claims by third parties.
2. In the event a dispute were to arise between the Second Party and Partner Account holder relative to Clause 2.2 (v) above, the Second Party shall not hold the First Party liable, responsible and shall defend, hold harmless and indemnify the First Party from any claim, cause of action, costs, expenses, losses, liabilities, damages, and obligations in relation to the legal relationship and dispute between the Second Party and the Partner Account holder(s) as well as related third party.
3. In the event that any of the First Party's bank or channel partners has flagged any of the transactions of the Second Party and/or the Second Party Merchants as (i) suspected fraudulent transactions; and/or 2) fraudulent transactions (collectively herein referred to as "**Flagged Transactions**"), such transactions shall be deemed as Chargebacks, as such term is defined in the Conditions, for which the First Party shall be entitled to immediately deduct the relevant amount of such transactions from the Second Party's balances or amounts held by the First Party pursuant to this Agreement and the Conditions.

10. DATA PRIVACY



Whenever applicable, in performing its obligations under this Agreement, the First Party shall, at all times, comply with the provisions of Republic Act No. 10173 or the Data Privacy Act of 2012, its Implementing Rules and Regulations, and all other laws and government issuances which are now or in the future will be promulgated relating to data privacy and the protection of personal information ("**Data Privacy Law**"). The First Party, its officers, employees, agents, and representatives, shall, among others:

(a) Process personal data only to such extent as may be required and necessary for the First Party to perform its obligations under this Agreement and as may be required by the Data Privacy Law. For this Agreement, the processing by the First Party of the personal data shall include:

(i) transfer and sharing of the personal data to First Party's subsidiaries, affiliates and third-parties to enable the First Party to perform its obligations under this Agreement;

(ii) analysis and storage, and sharing to subsidiaries, affiliates and third-party vendors, of the personal data, in conjunction with the other information (e.g. transaction or payment history, or information from third-parties), to allow the First Party to improve its products and services, and create, implement, or otherwise improve the existing security features and components of its existing and future products and services;

(iii) analysis and storage, and sharing to subsidiaries, affiliates and third-party vendors, of the personal data, in conjunction with the other information (e.g. transaction or payment history) to allow the Second Party to generate or create financial and allied information about the end-users or customers for their benefit, which shall be made available to the Second Party and the end-users or customers upon their written request to the First Party;

In all instances under sub-paragraphs (i), (ii), and (ii) above, the First Party shall execute with its affiliate, subsidiary or third parties, appropriate agreements and contracts, when applicable, setting forth at the minimum the extent of the processing and the obligations of the subsidiaries, affiliates and third parties over the personal data shared or disclosed for processing pursuant to this Agreement.

(iv) use of personal data such as contact information (e.g. telephone and mobile numbers, email addresses) of Second Party's customers or end-users to allow the First Party to provide them with consumer protection benefits and privileges, including service updates, retention premiums, as well as promotions of Second Party and his/her/its subsidiaries and affiliates; and

(v) such other processing of personal data allowed under Data Privacy Law.

(b) Implement measures and systems such as clear written guidelines and training modules for its personnel, agents, and representatives, that will enable data subjects to exercise any and all of their rights under Data Privacy Law;

(c) Implement such measures and systems that will allow data subjects to exercise their right to object or withhold consent to further processing as provided under the Data Privacy Law;



- (d) Implement such measures and systems that will allow data subjects to exercise their rights to access under the Data Privacy Law;
- (e) Maintain proper records, and provide to the Second Party access to such records, as will allow the Second Party to allow the exercise by data subjects of their right to access their personal data under the Data Privacy Law;
- (f) Ensure that data subjects will be able to exercise their right to rectification, modification, or blocking of their personal data under the Data Privacy Law;
- (g) Determine the appropriate level of security measures, subject to, and in conjunction with, that of the Second Party, taking into account the nature of the personal information to be protected, the risks represented by the processing, the size of the organization and complexity of its operations, current data privacy best practices, and cost of security implementation;
- (h) Implement security measures for data protection (i.e., generally, the physical, organization, and technical security measures prescribed by Data Privacy Law and its implementing rules and regulations), including policies for evaluation, monitoring, and review of operations and security risks. These measures may include clear written guidelines, training modules for its personnel, agents, and representatives, and audit measures in relation to the (1) collection, processing, maintenance, and deletion/disposal of personal data and records; and (2) the sharing of these information, especially on the specific persons to whom the information may be given access. Such measures shall aim to maintain the availability, integrity, and confidentiality of personal data, and prevent negligent, unlawful, or fraudulent processing, access, and other interference, use, disclosure, alteration, loss, and destruction of personal data;
- (i) Implement reasonable and appropriate organizational, physical, and technical measures intended for the protection of personal information against any accidental or unlawful destruction, alteration, and disclosure, as well as against any other unlawful processing, or for such other purposes as may be required under the Data Privacy Law;
- (j) Implement reasonable and appropriate measures to protect personal information against natural dangers such as accidental loss or destruction, and human dangers such as unlawful access, fraudulent misuse, unlawful destruction, alteration, and contamination;
- (k) Ensure that its personnel, agents, and representatives who are involved in the processing of personal information operate and hold personal information under strict confidentiality. This obligation shall continue even after their transfer to another position or upon termination of their employment or contractual relations;
- (l) Not to engage another processor without prior instruction from the Second Party: provided, that any such arrangement shall ensure that the same obligations for data protection under this document are implemented, taking into account the nature of the processing;
- (m) In case of data breach, promptly notify the Second Party from the time of discovery, to enable the Second Party to notify the National Privacy Commission, or appropriate supervisory authority, and the affected data subjects within the period prescribed under the Data Privacy Act of



2012, when sensitive personal information that may, under the circumstances, be used to enable identity fraud are reasonably believed to have been acquired by an unauthorized person, and the First Party, the Second Party, or the National Privacy Commission believes that such unauthorized acquisition is likely to give rise to a real risk of serious harm to any affected data subject or subscriber;

(n) Promptly inform the Second Party if, in its opinion, any instruction of the Second Party violates, or may be construed to violate, any provision of the Data Privacy Law;

(o) Assist the Second Party in ensuring compliance with the Data Privacy Law, taking into account the nature of processing and the information available to the Second Party;

(p) Upon request by the Second Party, First Party shall delete, destroy, or return all personal data to the former after the end of the provision of services relating to the Agreement, subject to the First Party's authority under existing laws to retain copies of the personal data; and

(q) Make available to the Second Party all information necessary to demonstrate compliance with the obligations laid down in the Data Privacy Law, and allow for and contribute to audits, including inspections, conducted by the Second Party or another auditor mandated by the latter.

12. MISCELLANEOUS PROVISIONS

1. Neither Party may disclose the existence or any terms of this Agreement or the transactions contemplated by it, except to their respective affiliates, employees, partners, advisors, directors and, in each case, only on a similarly confidential basis, except where disclosure is otherwise required by applicable law, rules and regulations.
2. Each Party and each of his/her/its employees, agents and representatives are required to comply with all applicable laws, regulations, rules, orders, directives, requirements, standards, guidelines and applicable industry practice codes, which bind each party in connection with the activities relating to this Agreement.
3. All the terms and conditions of this Agreement, including the Schedules, are applicable and shall fully bind the Parties.
4. Notwithstanding anything in this Agreement to the contrary, all terms and provisions of this Agreement that by their nature extend beyond the termination of this Agreement shall survive such termination.
5. No failure or delay on the part of any Party hereto in exercising any power or right hereunder shall operate as a waiver thereof nor shall any single or partial exercise of any right or power preclude any other or further exercise of any right or power hereunder.
6. This Agreement (including the Conditions as amended, modified or supplemented from time to time) embody and set forth the entire agreement and understanding of the Parties and supersede all prior oral and written agreements, understandings and arrangements relating to the subject matter of this Agreement (including the Conditions as amended, modified or supplemented from time to time,



7. If one or more provisions of this Agreement or arrangements referred to in this Agreement shall be declared invalid, illegal or unenforceable in any respect under any applicable law or decision, the validity, legality and enforceability of the remaining provisions and agreements contained or referred to in this Agreement shall not be affected or impaired in any way. In connection with the foregoing, upon the occurrence of such event, the Parties shall use their best efforts to amend such invalid, illegal or unenforceable provision(s) only to the extent necessary to be valid, legal and enforceable, as nearly as possible and consistent with the Parties' original intention.
8. This Agreement shall not be assigned by any party without the prior written consent of the other party. Any assignment in violation of this Section shall be null and void ab initio.
9. For the avoidance of doubt, except for the rights expressly granted herein, this Agreement does not transfer to any party, and neither party shall obtain from another, any rights in and to the Intellectual Property of a party. All rights, titles and interests, including without limitation to intellectual property rights, shall remain with the owner of such Intellectual Property.
10. The Parties acknowledge that this Agreement is executed electronically. The Second Party's consent to be bound by the terms of the Agreement, and the Conditions expressed in the Acceptance.
11. Audit Provisions - During the term of this Agreement and not more than once per year (unless circumstances warrant additional audits as described below), during reasonable business hours, each Party may request to any audit or examination of the other Party's policies, procedures and records that relate to the performance of the Services under this Agreement to ensure compliance with this Agreement upon at least fifteen (15) business days' notice. Notwithstanding the foregoing, the Parties agree that the other party may conduct an audit at any time, in the event of (i) audit is required by the Parties' governmental or regulatory authorities, (ii) investigations of claims of business irregularities of a potentially criminal nature, or (iii) the requesting Party reasonably believes that an audit is necessary to address a material operational problem or issue that poses a threat to requesting party's business. Each Party shall also reasonably cooperate and provide to the other any information which may be required in connection with their audit or review of either Party or the Services outlined in the Agreement.
12. Non-Exclusivity - Unless otherwise agreed upon in writing by the Managing Director, or any of its authorized officers the Second Party is aware the First Party may have provided, is providing, or shall, hereinafter, provide similar services to other persons and/or entities in the Philippines, and the Second Party hereby acknowledges and confirms that it consents to the First Party's provision of such services.



SCHEDULE 1

KYC OBLIGATIONS RELATING TO SECOND PARTY MERCHANTS

Unless otherwise defined in this Schedule, terms defined in the Services Agreement entered into between the First Party and the Second Party, and to which this Schedule is attached, shall bear the same meanings in this Schedule.

By activating the xenPlatform Feature to its Second Party Merchants, or when the Second Party avails of Banking-as-a-Service, the Second Party warrants, undertakes and agrees that:

1. it has a reliable and acceptable customer identification system for its customers compliant with local laws and regulations, and that its employees or representatives establishing the true and full identity of the Second Party Merchants and the End-Users have undergone appropriate customer identification and Anti Money Laundering training program;
2. it will conduct the requisite identification requirements in accordance with the applicable anti-money laundering and related laws and regulations, and its own Money Laundering and Terrorist Financing Prevention Program (MTPP), if applicable, and consistent with its KYC and CDD policy, or the acceptable equivalents thereof, including the face-to-face contact requirement or other acceptable means to identify the Second Party Merchants and the End-Users, and its beneficial ownership.
3. It will secure in its custody, all the minimum information and/or documents required to be obtained from the Second Party Merchants prior to establishing business relationship with the Second Party and keep custody of these in accordance with the retention period; under the anti-money laundering laws and regulations.
4. Whenever applicable, it will gather all the necessary information from the customers including, but not limited to:

A. For Individual Second Party Merchants

- i. Full Name;
- ii. Philsys Number (when available);
- iii. address;
- iv. Date and place of birth;
- v. Nature of work, name of employer or nature of self-employment/business;
- vi. Contact details;
- vii. Specimen signature or biometric of the customer;
- viii. Citizenship or Nationality;
- ix. Primary ID (Driver's License, Passport and/or any other Government Issued ID);
- x. DTI Registration;
- xi. BIR 2303 (if applicable); and
- xii. Name, present address, date and place of birth, nature of work and source of funds of beneficial owner or beneficiary, whenever applicable.



B. For Corporations and Partnerships

- i. Name of entity;
 - ii. Name, address, citizenship or nationality of beneficial owner or beneficiary, if applicable, and authorized signatories;
 - iii. Official address;
 - iv. Contact numbers or information;
 - v. Nature of business;
 - vi. Primary ID of authorized signatory (Driver's License, Passport and/or any Government Issued ID);
 - vii. Articles of Incorporation, or Articles of Partnerships;
 - viii. Latest General Information Sheet and SEC certificate of registration
 - ix. Secondary License or certificate of authority issued by the supervising authority or other government agency;
 - x. BIR 2303;
 - xi. Notarized Secretary's Certificate reflecting designation of authorized signatory;
 - xii. Notarized Secretary's Certificate on board approval authorizing opening of deposit account and list of authorized signatories (if applicable);
 - xiii. Valid gov't issued IDs (i.e., passport, LTO D.L., SSS, etc.) of authorized user/s;
 - xiv. Latest 2x2 photos of authorized user/s; and
 - xv. Specimen signatures or biometrics of the authorized signatory.
5. As necessary and upon request, the Second Party shall provide the First Party, without delay, with identification documents concerning the Second Party and End-Users. It is understood, however, that the Second Party will keep confidential the customer identification it will provide to the First Party.
6. In cases where the Second Party Merchant or the End-User is assessed as high risk, the Second Party shall conduct its separate enhanced due diligence procedure.
7. It will support any investigation of crime, suspicious transactions, fraud, abuse and/or potential abuse of the Service, including attempted transactions, and it will provide the First party with relevant information necessary for the said the investigation.
8. where applicable, it will preserve all hard copies and electronic copies of the transactions relive to the Services, KYM and KYC information, for a period of at least five (5) years from the last date of transaction, unless the customer or transaction is subject of a regulatory or internal investigation, in which case the Second Party shall preserve all such records until it receives from the First Party or the relevant government office a written notice that the investigation has been terminated, or the matter to which the investigation relates been resolved with finality.



SCHEDULE 2

CROSS-BORDER SETTLEMENT/WITHDRAWAL

Unless otherwise defined in this Schedule, terms defined in the Services Agreement entered into between the First Party and the Second Party, and to which this Schedule is attached, shall bear the same meanings in this Schedule.

When availing of the cross-border settlement, the following terms and conditions shall apply:

1. The fees for the each cross-border withdrawal shall be as follows:

No	Fee Structures	Amount (USD)
1.	Bank Fee	50.00
2.	Exchange Rate	Based on the First Party's remittance and foreign exchange partner at the time the day the conversion instruction is given by the First Party to the Bank.

2. The Second Party acknowledges that the fees quoted above are indicative fees based on the current fees of the First Party's remittance and foreign exchange partner. Thus, said fees may change and the Second Party shall be apprised thereof at the time when request for withdrawal/settlement is made. The conversion fee shall be the exchange rate quoted by the First Party's remittance and foreign exchange partner at the time of the withdrawal.
3. The currency of the bank fees shall be the same as the currency at which the amount to be withdrawn will be settled.
4. Each cross-border withdrawal initiated through the sending via email of an the invoice, stating: (i) the PHP amount that it wishes to withdraw; (ii) the foreign currency it wishes to receive the withdrawal amount in; and (iii) details of the bank account for the withdrawal ("Second Party's Settlement Account".
5. Not later than three (3) banking days from the receipt of the invoice, the First Party shall execute the invoice by instructing the remittance and foreign exchange partner to carry out the relevant foreign exchange conversion and remit the converted withdrawal amount to the Second Party's Settlement Account.
6. Within seven (7) banking days as of the First Party's receipt of the invoice referred to in No. 1, the First Party shall provide evidence of successful transfer to the Second Party.
7. After the First Party provides the evidence of successful transfer to the Second Party, the First Party shall deduct the relevant amount including (i) all applicable deductions (including but not limited to taxes, service fees, Bank Fees); (ii) the actual amount received by the Second Party, from the dashboard of the Second Party.



AUDIT TRAIL

Name: ETugma

Address: South Boulevard Strip 1, Silang, Cavite, 4118

Email Address: scribblesandschemes2011@gmail.com

Business ID: 66eef0bce8c0cf1930210cca

Business Description: We're a tutoring center providing a learning management system for our students

IP Address: 136.158.1.72

Timestamp: 22/09/2024, 3:02:48 AM (GMT+08:00, Pacific Standard Time)